Executives
Armando Giner -
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alan Alanis - Research Analyst
Amit Sharma - Analyst
Chelsea Konsko -
Fernando Ferreira - Director
José Juan Yordán - Research Analyst
Mauricio Martinez -
Nikolaj Lippmann - Equity Analyst
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter 2012 Results Conference Call. If you need a copy of the press release issued today, it is available on the company's website at www.grupobimbo.com/ir.

Before we begin, I would like to remind you that this call is being recorded, and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed notes in the company's press release regarding forward-looking statements. I will now turn the call over to Mr. Daniel Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Thank you very much. Good morning, everyone, and thank you for joining us this morning. I am here with our finance team. And as usual, we will begin with a review of development and performance in the quarter and some perspectives on what we are seeing in our markets. We will be happy to take any questions at the end.

As you know, we began reporting results under IFRS this year with prior years' figures restated accordingly. The main impacts of this are outlined in the press release. And I should point out that this quarter, we're providing original breakout of operating profit both before and after the other income and expenses line.

Our performance this quarter imposed from the first 3 months of the year are: The top line, sales jumped more than 43%, propelled by a combination of the Sara Lee and Fargo acquisitions, strong organic growth in Mexico and Latin America and beneficial FX rates. The gross margin remained stable, as greater efficiencies offset higher raw material prices, while profit before other income and expenses,

operating profit and EBITDA all showed increases over -- to the second quarter of last year, whereas in the first quarter, those numbers have declined from the year-ago period. Nevertheless, we saw an expected dilution at the operating level, given the higher expenses structure of the recent acquisitions combined with the investments we're making in the U.S. and Latin America. As we have noted previously, this is a transitional year as we execute our Sara Lee integration. And in that regard, we're pleased with the progress today.

Before I go into details on that, let me elaborate just a bit more on performance by region. In Mexico, we had a very healthy sales growth of 11.5%, with higher volumes in almost every category and in every channel and higher average prices across the portfolio. This growth reflects our extensive efforts to leverage our point-of-sales expertise and improve overall sales execution. Highlights from the period include outperformance in the bread, cookies, sweet baked goods, salted snacks and tortilla categories. This growth helped absorbed the impact of higher input costs and a weaker peso, resulting in an 80 basis point expansion of the operating margin.

In the U.S., sales rose more than 80% over last year, primarily driven by the integration of Sara Lee and also supported by favorable FX rate. The consumption environment remains quite soft with weaker volumes in general than in a year-ago period but continuing to trend positively quarter-to-quarter. That said, the sweet baked goods category, which includes Bimbo, Marinela and Entenmann performed well in the quarter, as did the breakfast category with Thomas' muffins.

We have expanded the Sara Lee brand into the Northeast and Southeast, and both our brands in buns and rolls is now national. We continue to work hard to grow volume, expand the market and engage our consumers through value and product innovation.

Although raw material costs were higher this quarter, we were able to almost fully offset these at the gross margin level with waste-reduction initiatives across the entire silo-to-store value chain, including several initiatives such as material efficiency, better capacity utilization, SKU optimization and greater customer efficiencies, among others.

At the operating level, there was an expected dilution coming from the change in expense structure following the Sara Lee integration, most notably, in terms of distribution as well as approximately $25 million in integration-related expenses this quarter. This was primarily allocated to IT migration and our asset strategy which is focused on reconfiguring and optimizing the manufacturing footprint.

I am pleased to share that our marketing and sales teams are now fully integrated and operating with one face to the market. Our synergy and productivity initiatives are gaining momentum, and as you know, we successfully completed the divestitures in Omaha and Pennsylvania.

Moving on to Latin America. We have very strong revenue growth of 33% this quarter, which reflected market penetration efforts across the region that resulted in higher volumes, along with higher average prices and, of course, the integration of Fargo in Argentina. I would also add that sales execution, overall, continues to strengthen and we're optimizing the sales mix in each market.

Brazil, Chile, Peru and Paraguay have performed this quarter with numbers, like 23% growth in Brazil down the trade channel alone. For the region, the significant 3.6 percentage point expansion in the operating margin is attributable to better absorption of fixed costs, supporting the market expansion

strategy. As for Iberia, results were in line with our expectations, and we continue to move forward on the integration plan. We remain confident about the long-term potential of the market, notwithstanding the difficult economic situation.

Lastly, I want to give you an update on the Piedra Larga wind farm, where we have a long-term purchase -- power purchase agreement. Construction of the 45 turbine generations is now complete, with functional testing underway. We will be formally inaugurating the facility at the end of this quarter and sourcing renewable energy from the facility shortly afterwards to almost all our operations in Mexico.

In terms of the balance sheet, we continue to aggressively pursue our target leverage ratio. During the first 6 months of 2012, we have phased down almost MXN 3 billion of liabilities, bringing our debt to EBITDA ratio to 2.9x in June compared to 3.1x in December 2011.

For the second half of the year, we will face continued uncertainty in the consumer environment, particularly in the U.S. However, we believe growth trends are still moving in the right direction. We should see some relief in the raw -- on raw materials on the back half of the year with the benefit of our hedging strategy. However, as you can see, with the rapid rise in wheat prices in recent weeks, we will need to place -- to pay close attention to the potential impact on our operations in 2013.

In addition, given that we are always subject to the FX risks, it is another potential issue in the second half of this year. However, with integration on track and synergies that BBU expected to come through next year, as well as continuing improvement in Mexico and Latin America, we are in a good position in terms of aligning cash flows with our continued investment in strategic initiatives that position the company as a low-cost producer as well as with our strong commitment to these leverages.

That concludes my remarks for this morning, and I believe that we're now ready to take any questions.

Question and Answer

Operator
[Operator Instructions] Your first question comes from Alan Alanis with JPMorgan.

Alan Alanis
My first -- well, first of all, thank you so much for the additional disclosure in terms of profitability per region. I want to ask you a question regarding the different levels of profitability of the regions and the outlook, specifically in the context of the 40% increase in wheat prices that we are experiencing right now. When, Daniel, do you think that the other Latin America and your Iberian operations, can go out of the red and generate a positive profit margin in light of this pressure in terms of raw materials? And if you could remind us how much is wheat and wheat flour as a percentage of cost in different regions. And how does -- and what kind of hedges do you have in light of this spike of cost of raw material, please?

Daniel Javier Servitje Montull
Well, Alan, let me try to answer some of your questions and maybe some of my colleagues will come back answering other part of your questions. We -- generally, as we have said before, have a policy of being around anywhere from I would say 5 to 9 months of hedging on our commodities. So I will tell you, generally, that for most of our operations, we are already covered through the remainder of the year in -- with hedges so we have a clear visibility on our costs for this year. And in some commodities, we can --

we have even being further away for the first quarter of next year. Nevertheless, yes, the impact of the wheat cost if they remain like they are right now will certainly -- will require us to buy at higher prices, and we'll have to manage also to our revenues through either different ways of promoting our products and/or increasing our prices or both. So that's a general statement on what's the impact of the wheat cost and also the soybeans price increases that we have recently seen as the U.S. gets hit with this CBO heat wave. On the topic for Iberia, because situations are different in each market, we're starting to see the benefits, but it was just starting to kick in, in June of our change in the distribution system. That was a project that was initiated by Sara Lee, and it was finally concluded last June. That will help us lower our distribution cost in Iberia, and that's a good relief that we'll start seeing there. But we've also experienced in the second quarter a shift in sensibility hires, sensibility of consumers regarding volume and prices of our products. So we're really signing our packaging and our offerings, so that we can offer more value to our consumers in the later part of the year. But the economy is experiencing, as expected, a downturn and consumers are worried. We're also in the process of taking back one of the plants that was offering an agreement with another company called Siro and that's going to happen later in the year in the Canary Island, and that's also going to help us. But that's working in progress. So overall, my view in Iberia is one that we're making progress with. We've just integrated our ERP system into the Bimbo system with success, and things are moving along our integration plan. But the economy is suffering, and we'll have to maneuver to that situation. In Latin America, the outlook is not as bright as it was at the beginning of the year. We're seeing that Brazil is cooling off, along other markets. And we're trying also to organize our efforts, given the impact of the wheat increases in the next year. So I would tell you that the brightest spot will be in Mexico in terms of volume and growth and in -- on the integration benefits in the U.S. in the coming years, but the market is not as strong as it looked at the beginning of the year.

Operator
Your next question is from the line of Nikolaj Lippman with Morgan Stanley.

Nikolaj Lippmann
Could you give an -- sorry if I missed it in the beginning. Could you give some details on the other expenses? And also, maybe, if you can comment on your plans going forward with regards to plant closing – closing plants in the United States, and any extraordinary expenses that you will have from that.

Guillermo Jorge Quiroz Abed
Yes. The full amount of the expenses we are classifying there is accumulative to the integration costs; about 90% of the whole amount is that. And we have registered there about close to $27 million, $28 million for the U.S. and about $4 million or $5 million for the European operations. The rest of the amount is small and basically is a recurrent thing, coming from very different none -- or normal operations across the group but mainly integration costs.

Nikolaj Lippmann
And in relationship to the U.S., are you planning any further closures? Would we -- should we expect any additional restructuring costs? Can you give us a sense of how much will be missing for the year?

Daniel Javier Servitje Montull
Well, yes. On the strategy, as plans will get formalized, we announce the closings in the different regions. So far, we have closed 4 plants this year, and we've also closed -- announced the closing of one line in another plant. And this is something that as we conclude the analysis, and we can -- we announce it on a one-on-one basis. So right now, I cannot give you a view of the plants that might or might not be closed

for the remainder of the year. But I can tell you that we're doing a very thorough analysis, and we will be announcing any decisions as they are made. The overall plan, we're sticking with it. And now what I can tell you is that given the prospects of the economies, we're taking a little bit more time on analyzing what are the decisions and the investments of what you will be seeing. It's a reduction of the pace of the investments that we have set out at the beginning of the year. That -- it will be the difference from the previous conference that we've mentioned a CapEx figure. We're now being a little bit more paced on this investment.

Guillermo Jorge Quiroz Abed
And regarding the last part of your question, Nikolaj, our budget for the year for integrating all operations in U.S. and the Iberian operations is close to $125 million, and we are still holding to that same.

Operator
Your next question is from the line of Jose Yordan with Deutsche Bank.

José Juan Yordán
Just a clarification on the last couple of questions. Out of that $125 million you just mentioned on integration budget, how much of it has been spent so far? And if you can give us an update on what your total CapEx expectation for the year, now that it's kind of slowed down from your previous statements. And then the second part of my question is just more general. Once again, there's talk in Mexico about extending the VAT to food and medicine, et cetera. And I just like to hear what your view is on that on number one and whether it will pass this time. Obviously, it's been proposed many, many times and never passed. But what's the chance this time? And what would you do about it if it were to pass?

Guillermo Jorge Quiroz Abed
Well, I'll take one of the questions. From those $125 million, we have already spent about $45 million of those. So the remaining would be – or at least expected to happen on the second part of the year. Now honestly, I personally, I [indiscernible] That is okay. That CapEx -- Danielle was mentioning before, we are – the environment, all over the place is not -- the environment -- the economical environment, we were expecting -- we have been experiencing FX movement. Now we are, as also mentioned before, expecting a higher raw material cost. And accordingly, we have been adjusting as much as we can our CapEx budget. If I recall well, we started the year with a budget of close to $700 million, and that has been reduced, and it’s being still -- being reviewed. The actual number is $550 million. And that's the second question.

Daniel Javier Servitje Montull
On the VAT, it's very preliminary. We don't know if there's going to be a proposal for fiscal reform or not, and we'll have to really be looking at the news in the coming months. There's a new Congress starting in September, and the projects, the priorities have not yet been announced.

Operator
Your next question is from the line of Mauricio Martinez with GBM.

Mauricio Martinez
I would like to ask regarding the recent hike in level with prices. If current levels remain, in which divisions, will it be hard for the company to transfer such increases to customers?

Daniel Javier Servitje Montull
Mauricio, I would say that the environment is -- as Guillermo pointed out, is not a lot of growth in the economy in the coming years. So I would say that all divisions will have to be very careful on how they approach this situation. And we need -- fortunately, we have coverage for the remainder of the year so we need to understand better the -- how this commodity increase ends up playing in the coming weeks or months, and that thereafter we'll either start, as I mentioned, doing price increases or reducing our promotional expenses. But that's something that we need to have a little bit more view on the market for the time being.

Mauricio Martinez
Okay and another question. What kind of strategies are you adapting in order to improve performance in volumes at BBU?

Daniel Javier Servitje Montull
Well, as we mentioned in the press release, we're starting to fill the voids of some of the brands that were not covered of the different companies before the integration such as introducing Sara Lee in some territories and expanding Ball Park to our national brands this summer. And we're continuing on putting up Bimbo and Marinela products in new outlets. So that's a strategy that -- it's working, and we'll be doing -- we'll continue to roll out our brands to different places in the coming months. The other strategies, really trying to develop a tailored market strategy for each CDM. And our different regions have autonomy to operate on the strategy potential of the opportunities in each market by defining their own promotional strategy and product strategy. And that is helping us become not only a national player, but also a very local player within this market. It's -- I would say it’s something that we’ve done in the past, and we're continuing with this strategy, and I would say that our team, it's doing the best job that they can do under these circumstances.

Operator
Your next question comes from the line of Hasatori Jagler [ph] [indiscernible].

Unknown Analyst
My question is regarding the U.S. business. Can you talk a little bit about the operating environment there, especially as it relates to Hostess being in bankruptcy and what impact that might have had on the operating environment? We've heard that it's gotten a little bit more promotional than it typically is. Just curious to know what your thoughts are on the operating environment, and if it has changed at all since Hostess has been in bankruptcy and perhaps what your expectations are there for the rest of the year.

Daniel Javier Servitje Montull
Yes. Well, let me tell you that the U.S. is a very competitive market. And in many regions, there are 5, 6, 7 players in the bread aisle or in the sweet baked goods shelf. And if -- we haven't seen any big change in the environment there from what we used to in the past. And it's a competitive market. We have a lot of innovation. We have a lot of promotions all the time. And the battle is to be won every day at the shelf so no major changes from the past.

Unknown Analyst
Okay. And what are your expectations for the operating environment for the industry, as Hostess goes through its bankruptcy? You think, overall, when we're done with it, it will be a positive for the industry or not?

Daniel Javier Servitje Montull
Well, it remains to be seen, i.e., I would say that Hostess has been in this process before and out of this process before so it's one of the factors of many, in a way, if the market will play out. It's one consideration, but to us, it's not a critical or unique consideration. And we're paying attention, but it's, as I said before, one among many players there.

Unknown Analyst
Perfect. One last question on pricing. So given your hedges, et cetera, when do you think the industry needs to start seeing prices go up? And how much of a price increase do we need, roughly, to keep gross margin, on a percentage basis, the same?

Daniel Javier Servitje Montull
Well, I would say that, that's an individual decision that each company will have to look at. And depending on when their coverage expires, we'll have to take action. But my sense is that this is, obviously, a thing that's going to impact the whole industry. And when and how much will depend on their product lineup, their percentage of product that goes to premium or mainstream categories. So I cannot tell you a number on that.

Operator
We have a final question comes from Emilio Carino [ph] with CBM Global [ph].

Unknown Analyst
I have 2 questions. The first one is regarding your Latin America operations and your penetration efforts. I was wondering if you could give us more color regarding your market share on each of the countries. And what was the sales share of each market for your Latin American operations? And regarding U.S., you were talking about production efficiencies. I was wondering if you could give more in color regarding the efficiencies?

Daniel Javier Servitje Montull
On the U.S., I'll start with that one. What we were doing is shutting out some inefficient lines or plants and transferring that volume to expand the volume of our high efficient lines and plants, and thereby reducing the cost per unit produced. We are also reviewing our formulas to see which are the best ones that we have and can provide the best value and performance for our consumers. The company's also improving. We have -- in the U.S., we have 71 plants as of now, and we are benchmarking all of them and trying to get the best performance and the best practices to be shared among all plants. We are also looking at opportunities of reducing mileage in our plant. As we have more plants in the territory, we are transferring the volume from some plants to the markets that are closer to them, and thereby, reducing our mileage and our logistical cost. We are also trying to improve our distribution efficiencies through distribution centers that can improve our mileage overall and reduce our cost per mile delivered. So those are a few among the ones that we're taking. It's a full gamut of opportunities. That's where the integration of these 2 companies had a large share of the synergies coming out. And it's -- as we said before, it's going to be -- we are going to have effort, but it certainly is going to pay a lot of dividends after it is finished. In Latin America, let me tell you that we're the market share leader in all our businesses, in all the markets. There are markets where we have a significant market share position, over 70%. And there are other markets where we're in the high 20s, into 30s. But the big challenge, the big opportunity in Latin America is not only having a significant market share, but more importantly, to have a greater

penetration in the different outlets in the countries. And our business still derives much from the -- I would say, modern channels there. And there are a lot of opportunities in reaching out to smaller mom-and-pop stores that comprise a large part of the population that are buying in many countries. And the other part of the opportunity is in gaining share from the non-packaged bread market. And in some countries, the bulk of the business is on non-packaged bread business. So those are, I would say, some of the opportunities in Latin America regarding growth and market share.

Operator
We have an additional question from the line of Fernando Ferreira with Bank of America.

Fernando Ferreira
I have 2 questions, actually. The first one, could you provide us a breakdown in Mexico, what percentage -- or what proportion of the sales growth was driven by volumes, and what proportion was driven by price?

Daniel Javier Servitje Montull
Yes. Around 1/3 -- 1/2 -- sorry, 1/2 of the increase was volume and the rest was from pricing.

Fernando Ferreira
Okay. And then just a follow-up on BBU. So do you expect this margin improvement we've seen quarter-on-quarter to be sustainable to the end of the year, given that you're hedged for your wheat needs or not given that you still have a substantial amount of the extraordinary cost to be taken in the second half?

Daniel Javier Servitje Montull
Yes. The second half looks more promising definitely than the first half as we start to see some benefits of the actions taken in the first semester to kick in. So we'll see a better semester compared to the one that we had last year, and the first semester on a comparable basis. The question, really, the impact for next year and that's something that we'll -- as we've said in the earlier comments, we'll see a hit from the commodity prices, but we'll certainly also see a benefit from our continued integration efforts.

Fernando Ferreira
Sure, perfect. And just to make sure we understand here, the $125 million, do you still expect to use all of these investments through 2012, or part of that will be left for 2013?

Guillermo Jorge Quiroz Abed
Yes. And just to clarify, when we say $125 million, we are not referring to CapEx, or to the ratio costs. And yes, yes, we -- that figure's related to this year and is the forecast for the budget we have in 2013.

Operator
The next question is from the line of Isabella Masai [ph] with JPMorgan.

Unknown Analyst
Just a quick question. Could you give an idea of how much wheat represents of your total cost in general for the consolidated growth?

Armando Giner

This is Armando Giner. We would prefer if I can, I call you back to give you all the details by region, so we prefer if can call you back. In general, it's about 9% to 10% of sales, the wheat flour. But if you need more details, please give us a call or we can call you back and give you the details.

Operator
Your next question is from the line of Chelsea Konsko with TIAA-CREF.

Chelsea Konsko
I know you commented already on the U.S. operations margins for the second half of the year, but what about for your other business units? What do you expect for margins for second half?

Daniel Javier Servitje Montull
Yes. The outlook for Latin America, it's cooling off. Brazil growth has less potential of keeping the same pace, as well I would say, certainly, of Argentina and Venezuela. Probably, we're seeing still good markets in Colombia and Peru and Chile as of now. The whole region is very strong in revenues coming from commodities so the implications of the commodities might have some conflicts or affect others. But in general, I would say that we're seeing not as hot the market as it was before. Mexico, yes, it's still looking back like it's on a growth path. And so far, we're continuing to hold our expectations according to our plan.

Chelsea Konsko
So on a consolidated basis, net-net, would you -- are you still expecting margins to improve in the second half of the year or not?

Daniel Javier Servitje Montull
Yes, yes. In the second quarter, we expect to see an improvement in the -- second half of the year, we'll see an improvement in the margins. But there are things that we need to be more worried on the second -- on the first semester of 2013.

Operator
Your next question comes from the line of Amit Sharma with BMO Capital.

Amit Sharma
Just want to add a question about the sweet bread category that you mentioned that you -- that's one of the bright spots for you. Is that just driven by your distribution that you're gaining in the U.S., or is that just the category itself performing?

Daniel Javier Servitje Montull
Really, I would say it's hard to tell you. But I would say, partially, it's the category, and we've also introduced new format sizes on some of our brands, particularly the ones on Bimbo Marinela that are responding very, very well. So I think we're doing things right, and the category in itself it's also growing.

Amit Sharma
And in places where you are growing, are you taking some shelf space away from your competitors, or is that additional shelf space?

Daniel Javier Servitje Montull

I cannot tell you the detail of it. My impression is that, in general, we're improving the terms of our brands, more so than taking shelf space from others.

Amit Sharma
Great. And other one is have you -- do you have any update on the likely divestures in California?

Daniel Javier Servitje Montull
Not yet. The proposals are under the review of the DOJ, and we're waiting for their decision.

Amit Sharma
Is there a timeframe that you can give us as to when the decision will be made?

Daniel Javier Servitje Montull
Unfortunately, it's not in our hands.

Operator
Our final question is from the line of Brett Anlivas [ph] at ENP Capital [ph].

Unknown Analyst
I just had a quick one regarding your U.S. bread business. You guys have announced a number of plant closures, and then you also announced the build of a facility in Texas. And I was just curious if this would -- if all of this together will result in a net reduction in capacity or if you expect capacity to stay the same or even move higher.

Daniel Javier Servitje Montull
Yes. At the end of the day, capacity will be higher than the one that we started with when all is said and done. But this is not -- the closure that we have now and the plant opening that we have announced is not the final view of our footprint in the U.S. It is just, I would say, the first stage of our plan. So as we conclude all our analyses and have the decisions and the resources to go to the next stage, we'll keep on announcing different plans. But at the end of today, we'll have a bit more capacity than what we started with, much more efficient, though.

Operator
This concludes the question-and-answer session. At this time, I would like to turn the floor back to Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Okay. Well, thank you, all, for your time and interest today. And please do not hesitate to contact us with any further comment or questions you may have. And we look forward to speaking with you very soon. Thank you very much.

Operator
And this does conclude today's presentation. You may now disconnect your lines, and have a nice day.

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